

PB04 Contract 01 - AI Vendor Risk Assessment Playbook Demo Agreement

This synthetic agreement is between Siemens Legal Operations and Commercial Counterparty 01. It is generated for Lou contract review demos and is not legal advice.

1. Commercial Background.

The parties are entering a transaction governed by playbook PB04: AI Vendor Risk Assessment Playbook. The commercial purpose is: Details strategies for evaluating and mitigating risks associated with engaging AI vendors in commercial agreements.

2. AI vendor data ownership post-termination.

Preferred drafting position: Vendor retains data but provides export mechanism. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

3. AI vendor compliance with export controls.

Preferred drafting position: Vendor certifies compliance with all applicable export controls. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

4. AI vendor liability for algorithmic bias.

Fallback drafting position: Vendor agrees to audit for bias. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

5. AI vendor access to proprietary data.

Escalation issue: Vendor accesses proprietary data without restriction. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

6. AI vendor performance metrics and reporting.

Preferred drafting position: Vendor provides regular performance reports. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

7. AI vendor audit rights for system compliance.

Preferred drafting position: Vendor allows audits of system compliance. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

8. AI vendor data residency and localization.

Fallback drafting position: Vendor allows data transfer with compliance measures. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

9. AI vendor contractual term limits.

Preferred drafting position: Vendor agrees to term limits and renewal conditions. The parties shall keep records showing compliance, notify each other of material deviations, and

escalate unresolved issues to legal operations within five business days.

10. Operational Exception.

The supplier may use experimental workflow tooling for internal reporting without prior written approval, provided no regulated data is exported. This clause is intentionally outside some playbook coverage so Lou can surface unmapped review findings.

11. Signatures.

The parties agree to the terms above through duly authorized representatives.